

simply good copycats and adopting innovations created elsewhere rules the world.

CASE STUDY: MCDONALD'S

Most entrepreneurs lift their business ideas from other existing businesses or from their last employer. Ray Kroc loved the business model of the McDonald brothers' hamburger restaurant in San Bernadino, California.² In 1954, he bought the rights to the name and know-how, and he scaled it, with minimal change. Many of the subsequent changes or innovations did not come from within the company with its formidable resources—they came from street-smart franchisees and competitors. The company was smart enough to adopt them, just as they adopted the entire concept at the outset. Some of these innovations include:

Ronald McDonald was inspired/created by a Washington, D.C., franchisee (1963).³

The *Filet-o-Fish* was developed by a Cincinnati franchisee (1963).⁴

The *Big-Mac* was developed by a Pittsburgh franchisee (1968).⁵

The *Egg McMuffin* was developed by a Santa Barbara franchisee (1973).⁶

The drive-thru was first introduced by an Arizona franchisee (1975).⁷

The *Mighty Kids Meal* was lifted from Burger King (2001).⁸

While many of the company's innovations like Hamburger University were fundamental to the company's success, many innovations created at headquarters, with all its resources, simply flopped. Some of the famous flops over the years are:

Hulaburger: A Ray Kroc invention, it featured a slice of pineapple instead of meat. Originally intended for Roman Catholics who were